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Case Number: 26STCV09040 Hearing Date: August 3, 2026 Dept: 406

LANCE SOARES

INCORPORATED, et al.,

Plaintiffs,

v.

CITY OF SANTA CLARITA,

Defendant.

Case No.: 26STCV09040

Hearing Date: August 3, 2026

[TENTATIVE]

order RE:

defendant's demurrer to complaint

BACKGROUND

On March 19, 2026, Lance Soares Incorporated (LSI) and Lance Soares (Soares) (collectively, Plaintiffs) filed this action against the City of Santa Clarita (the City). Plaintiffs filed the operative First Amended Complaint on May 18, 2026.

Plaintiffs are currently being sued

by their employees for failure to pay prevailing wages. The employees worked as street sweepers pursuant to LSI's contract with the City. Plaintiffs filed this action against the City for indemnity in the event Plaintiffs are held liable to the employees, because the City represented to Plaintiffs that the contract did not involve a "public work" and was therefore not subject to prevailing wage laws. The FAC asserts claims under Labor Code sections 1726 and 1781, as well as a claim for equitable indemnity.

On June 22, 2026, the City filed the instant demurrer to the complaint. Plaintiffs filed an opposition on July 21, 2026. The City filed a reply on July 29, 2026.

LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc., § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "California law emphasizes ultimate fact pleading (with some exceptions, notably for fraud and related torts) 'in ordinary and concise language,' and the test for adequacy is not absolute but 'whether the pleading as a whole apprises the adversary of the factual basis of the claim.'" (Lim v. The TV Corp. Internat. (2002) 99 Cal.App.4th 684, 690.)

MEET AND CONFER

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., §§ 430.41, 435.5.) The Court finds that Defendant has satisfied the meet and confer requirement. (See Chee Decl.)

REQUEST FOR JUDICIAL NOTICE

The City's request for judicial notice of Exhibits A through E is granted.

DISCUSSION

I.

Timeliness

a. Statutory Indemnity

Under the Government Claims Act (GCA), certain claims must be presented to a public entity before a plaintiff may file a civil action for damages. (Gov. Code, § 945.4.) A plaintiff must present his claim no later than one year after the cause of action accrues. (Id., § 911.2(a).) "A cause of action accrues 'when [it] is complete with all of its elements'—those elements being wrongdoing, harm, and causation." (Pooshs v. Philip Morris USA, Inc. (2011) 51 Cal.4th 788, 797.) "[O]rdinarily, the statute of limitations runs from 'the occurrence of the last element essential to the cause of action.'" (Aryeh v. Canon Business Solutions, Inc. (2013) 55 Cal.4th 1185, 1191.)

Here, the FAC alleges that Plaintiffs presented a government claim for the first cause of action on September 28, 2025 and another government claim for the second and third causes of action on March 26, 2026. (FAC ¶¶ 24-25.) The City argues that the claims were untimely because LSI presented them more than one year after the causes of action accrued. The City argues that LSI knew or should have known that it might be subject to liability for prevailing wages no later than October 2021, when the Department of Industrial Relations (DIR) issued a determination in a different case that a street sweeping contract involved a public work and was therefore subject to prevailing wage laws. (See Def.'s RJN, Ex. 1.) Alternatively, the City argues that LSI was on notice by July 2023, when its new contract with the City came into effect requiring the payment of prevailing wages, which should have raised suspicion about the City's prior representation that the project was not subject to prevailing wage laws. At the latest, the City argues, LSI was on notice by the time its employees filed their lawsuits in October and November 2023.

However, a cause of action does not accrue until it is complete with all of its elements, including damages. (Pooshs, supra, 51 Cal.4th at p. 797.) Therefore, “a cause of action for indemnity does not accrue until the indemnitee suffers loss through payment of an adverse judgment or settlement.” (City of San Diego v. U.S. Gypsum Co. (1994) 30 Cal.App.4th 575, 587.) Here, Plaintiffs’ claims under Labor Code sections 1726 and 1781 seek statutory indemnity. (See Nabors Corporate Services, Inc. v. City of Long Beach (2025) 108 Cal.App.5th 540, 554.) However, Plaintiffs have not paid an adverse judgment or settlement in the cases brought by their employees. Therefore, the statutory causes of action have not accrued.

The statutory language also supports this result. The statutes permit recovery of “the difference between the wages actually paid to an employee and the wages that were required to be paid to an employee under this chapter, any penalties required to be paid under this chapter,” or “increased costs incurred by the contractor” as a result of the failure to identify a project as a public work. (Lab. Code, §§ 1726(c), 1781(a)(1).) LSI arguably has not yet incurred these costs, as there has been no adverse judgment or settlement in the underlying lawsuits.

The City cites Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 807-08 for the proposition that a cause of action accrues when the plaintiff “has reason to discover” a factual basis for the claim. However, LSI had no reason to discover the factual basis for its indemnity claim before the claim was complete with all of its elements. An indemnity claim is complete when the plaintiff suffers damages, i.e., the underlying liability. (City of San Diego, supra, 30 Cal.App.4th at p. 587.) The claim must be complete before the plaintiff can be charged with knowledge of it. The discovery rule does not accelerate accrual based on suspicion of a possible future injury.

Even if accrual depended on LSI’s actual or constructive knowledge of its potential liability, it is a question of fact whether and when LSI obtained such knowledge. The City’s arguments rely on facts external to the complaint. The City’s theory requires the Court to make the following assumptions at the pleading stage: (1) LSI knew or had reason to know about the DIR’s 2021 determination in an unrelated case and should have known that this other determination was binding on LSI’s own contract with the City; (2) the new July 2023 contract with the City

demonstrated that the City misrepresented the project's status as a public work prior to that date, putting LSI on notice that it would be held liable for prevailing wages; and (3) LSI knew or should have known, as soon as the employees' lawsuits were filed, that the underlying claims had merit and that LSI would be held liable for prevailing wages.

The Court can make no such assumptions based on any of the pleadings or judicially noticeable materials. Therefore, it cannot be determined at this stage that the statutory claims accrued on the dates proffered by the City. Instead, the allegations in the complaint support a reasonable inference that the claims accrued no earlier than July 2025, when the Court summarily adjudicated that LSI had a duty to pay prevailing wages. (See FAC ¶ 23.) As a result, the claims under Labor Code sections 1726 and 1781 are timely.

b. Equitable Indemnity

The Government Code provides an exception to the ordinary accrual rule in the case of equitable indemnity against a public entity: "the date upon which a cause of action for equitable indemnity or partial equitable indemnity accrues shall be the date upon which a defendant is served with the complaint giving rise to the defendant's claim for equitable indemnity or partial equitable indemnity against the public entity." (Gov. Code, § 901.)

Here, the employees' lawsuits were served to Plaintiffs in October and November 2023. Those are the complaints for which Plaintiffs seek equitable indemnity. Plaintiffs identify no other complaint for which equitable indemnity is sought. Section 901 unequivocally provides that the limitations period runs from the date of service of the complaint, not from the date that liability is determined. Therefore, the limitations period under section 901 began running in October and November 2023. Plaintiffs presented their equitable indemnity claim to the City in March 2026, more than one year later. (FAC ¶ 25.) Thus, the equitable indemnity claim is time-barred.

II.

Immunity

The City argues that it is immune from liability under Government Code section 818.8: "A public entity is not

liable for an injury caused by misrepresentation by an employee of the public entity, whether or not such misrepresentation be negligent or intentional.” However, a specific statutory provision governs over a general one if the two are inconsistent. (Code Civ. Proc., § 1859.) Government Code section 818.8 provides general immunity for misrepresentations, but Labor Code sections 1726 and 1781 specifically provide for liability against an “awarding body” in relation to prevailing wages. An “awarding body” is defined as a “department, board, authority, officer or agent awarding a contract for public work,” which includes public entities such as the City. (See Lab. Code, § 1722.) Thus, to the extent the provisions are inconsistent, the Labor Code provisions would control.

The City correctly notes that under the Government Code, the liability provisions are subordinate to the immunity provisions. However, the liability at issue here stems from the Labor Code. Government Code section 815(b) provides that “[t]he liability of a public entity established by this part (commencing with Section 814) is subject to any immunity of the public entity provided by statute, including this part.” (Gov. Code, § 815(b).) Labor Code sections 1726 and 1781 are not “established by this part” within the meaning of Government Code section 815(b). Therefore, the immunities established by the Government Code do not necessarily trump the liabilities created by the Labor Code.

The caselaw cited by the City confirms this conclusion. For example, the court in *Tokeshi v. Cal.* (1990) 217 Cal.App.3d 999, 1005 acknowledged that the legislative purpose behind Government Code section 818.8 is to “exempt[] the state from tort liability for ‘misrepresentation.’” The Legislature “must have had in mind those areas in which private defendants typically face liability for ‘misrepresentation.’” (Ibid.) The liability established under Labor Code sections 1726 and 1781 falls beyond this description, i.e., it does not involve a “misrepresentation” as contemplated in Government Code section 818.8.

The City relies on *Tokeshi* for the additional proposition that Government Code section 818.8 provides immunity for misrepresentations even if the claim is framed as a statutory violation. (See *Tokeshi*, supra, 217 Cal.App.3d at p. 1008.) However, the claims here are not framed as statutory violations. The City is not being accused of violating Labor Code sections 1726 and 1781. Those statutes simply authorize an action for indemnity in specific situations concerning public works and

prevailing wages. Therefore, Tokeshi is distinguishable.

Ultimately, the City cites no authority suggesting that Government Code section 818.8 immunizes public entities from liability under Labor Code sections 1726 and 1781. The City's theory would provide immunity in every case where the awarding body is a public entity, which would render sections 1726 and 1781 largely ineffectual. This could not have been the Legislature's intent. Therefore, Government Code section 818.8 does not preclude liability in this case.

CONCLUSION

Defendant City of Santa Clarita's demurrer is SUSTAINED without leave to amend as to the third cause of action and OVERRULED in all other respects.